



AI Governance Framework for Financial Services

Policy templates, RACI matrices, and committee terms of reference

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1. Executive Summary

Effective AI governance is critical in financial services where regulatory requirements are stringent and risks are material. This framework provides a comprehensive governance structure that balances innovation with risk management, compliance with speed, and centralized oversight with distributed accountability.

2. Governance Structure & Roles

AI Governance Council

Membership: CEO/President, CRO, CIO, CFO, Chief Compliance Officer, Head of Data & Analytics

Frequency: Monthly or quarterly **Responsibilities:** • Approve strategic AI initiatives >\$500K • Review and approve AI risk policies • Oversee regulatory compliance • Resolve inter-departmental conflicts

AI Implementation Committee

Membership: CIO, Head of AI, Compliance Lead, Risk Lead, Business Unit Leaders **Frequency:** Bi-weekly

Responsibilities: • Approve individual AI initiatives • Monitor implementation progress • Manage dependencies and resources • Escalate risks and blockers

AI Ethics & Fairness Board

Membership: Chief Data Officer, Compliance, Risk, Audit, External experts **Frequency:** Quarterly

Responsibilities: • Review AI systems for bias and fairness • Assess ethical implications • Monitor external narrative and regulation

3. Policy Templates

AI Development & Deployment Policy

Policy Objective: Establish standards for development, testing, and deployment of AI systems **Key Requirements:**

- All AI systems must undergo review by AI Governance Council
- Model validation required before production deployment
- Documentation of training data, model assumptions, and limitations
- Bias testing on at least 3 protected attributes
- Audit trail of all model changes and versions
- Escalation procedures for model performance issues

Data & Model Governance Policy

Data Quality Standards:

- Data lineage documented for all training datasets
- Data freshness requirements (daily, weekly, monthly) by use case

- Completeness thresholds (minimum % non-null values)
- Regular data quality assessments
- Master data governance for critical attributes

Risk Management & Escalation Policy

Risk Assessment Triggers:

- Model accuracy decline >5% from baseline
- Unexpected patterns in predictions or outputs
- Changes in data distribution or characteristics
- Regulatory or compliance concerns
- External events affecting model relevance

4. RACI Matrix

Clear accountability for key AI governance activities:

Activity	AI Council	Impl Cmte	CRO/Compliance	Data Steward
Strategic AI investment approval	A	R	C	I
New AI initiative approval	C	R	A	I
Model validation & testing	I	R	C	A
Risk assessment & mitigation	C	R	A	I
Regulatory change response	A	R	R	C
Bias & fairness review	I	R	C	A
Model monitoring & health	I	C	C	R
Incident management	C	A	R	I

Legend: R=Responsible | A=Accountable | C=Consulted | I=Informed

5. Committee Terms of Reference

AI Governance Council - ToR

Aspect	Details
Reporting Line	Reports to Board Audit Committee
Chair	CEO or Chief Risk Officer
Frequency	Monthly
Quorum	5 of 6 members
Decision Authority	\$500K+ AI investments, policy changes
Meeting Length	90 minutes

Escalation & Escalation Thresholds

Issue Type	Escalation Trigger	Owner	Timeline
Model Accuracy	>5% decline	Implementation Cmte	5 days
Data Quality	>20% missing data	Data Steward	3 days
Regulatory	Regulatory guidance change	CRO	Immediate
Bias Concern	Audit finding	Ethics Board	7 days

6. Decision-Making Framework

Approval Levels by Initiative Type

Strategic Initiatives (>\$5M, multi-year): Board approval required **Major Investments (\$500K-\$5M):** AI Governance Council approval **Implementation Projects (\$50K-\$500K):** Implementation Committee approval **Operational Changes (<\$50K):** Business unit approval with governance notification

7. Monitoring & Reporting

Key Performance Indicators

KPI	Target	Frequency	Owner
Governance Council approval	10 days	Monthly	AI Governance Council

Model availability	>99.5%	Daily	Data Steward
Audit finding remediation	100% in 30 days	Quarterly	CRO
Policy compliance	>95%	Quarterly	Compliance

Next Steps

This guide is designed to be a practical, hands-on resource for implementation. Use the templates and checklists as starting points for your organization's specific needs.

We're here to help.

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For consultation on implementation, governance, and strategic deployment of AI initiatives.

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